

GRANULES PHARMACEUTICALS, INC.

Review Report

April 1, 2017 to March 31, 2018

Prepared by:

Chugh CPAs, LLP

1600 DUANE AVENUE, SANTA CLARA, CA 95054

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1600 DUANE AVENUE, SANTA CLARA, CA 95054 | TEL 408.970.0100 | FAX 408.970.0200 | WWW.CHUGH.NET

INDEPENDENT ACCOUNTANTS' REVIEW REPORT

To Board of Directors and Stockholders of
Granules Pharmaceuticals Inc.

We have reviewed the accompanying financial statements of Granules Pharmaceuticals Inc. (a Delaware corporation), which comprise the Balance Sheet as of March 31, 2018, and the related statements of income and stockholders' equity and cash flows for the year then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion, conclusion, nor provide any form of assurance on these financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error.

Accountants' Responsibility

Our responsibility is to conduct the review engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

Accountants' Conclusion

Based on our review, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

Supplementary Information

The supplementary information included in Schedule A is presented for purposes of additional analysis and is not a required part of the basic financial statements. The information is the representation of management. We have reviewed the information and, based on our review, we are not aware of any material modifications that should be made to the information in order for it to be in accordance with accounting principles generally accepted in the United States of America. We have not audited the information and, accordingly, do not express an opinion on such information.



Chugh CPAs, LLP
Santa Clara CA
July 12, 2018

GRANULES PHARMACEUTICALS, INC
BALANCE SHEET
AS OF MARCH 31, 2018

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ASSETS

CURRENT ASSETS

Cash & Cash Equivalents	\$ 1,184,233
Inventory, (Note 6)	1,871,932
Loans & Advances	369,881
Other Assets	97,561
Prepaid Expenses	26,343
Other Current Assets	35,000
TOTAL CURRENT ASSETS	<u>3,584,951</u>

PROPERTY & EQUIPMENT

Property & Equipment, at cost (Note 7)	20,331,783
Less: Accumulated Depreciation	<u>(2,533,126)</u>
Net Property & Equipment	17,798,657
Capital Work in Progress	2,754,259
PROPERTY & EQUIPMENT, NET	20,552,916

OTHER ASSETS

Deferred Income Tax Asset (Note 5)	1,207,887
Investments	4,936,879
Deposits	5,809
Loans and Advances	2,000,000
Other Assets	70,298
TOTAL OTHER ASSETS	<u>8,220,873</u>

TOTAL NON CURRENT ASSETS	<u>28,773,789</u>
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TOTAL ASSETS	<u><u>\$ 32,358,739</u></u>
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GRANULES PHARMACEUTICALS, INC
BALANCE SHEET
AS OF MARCH 31, 2018

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LIABILITIES & STOCKHOLDERS' EQUITY

CURRENT LIABILITIES

Accounts Payable	\$ 1,924,912
Payroll Payable	541,098
Payroll Tax Payable	1,454
Provision for Other expenses	43,075
Advance from customers	312,668
TOTAL CURRENT LIABILITIES	<u>2,823,207</u>

LONG TERM LIABILITIES

Loan from Granules India	61,253,000
Accrued liabilities	2,844,319
TOTAL LONG TERM LIABILITIES	<u>64,097,319</u>
TOTAL LIABILITIES	<u>66,920,526</u>

STOCKHOLDERS' EQUITY

Common Stock: \$0.001 Par value, 10,000,000 Authorized Shares	
2,000,000 shares issued and outstanding	2,000
Additional Paid in Capital	1,998,000
Retained Earnings	(36,561,786)
TOTAL STOCKHOLDERS' EQUITY	<u>(34,561,786)</u>

TOTAL LIABILITIES & STOCKHOLDERS' EQUITY	<u><u>\$ 32,358,739</u></u>
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GRANULES PHARMACEUTICALS, INC
STATEMENT OF INCOME
FOR THE YEAR ENDED MARCH 31, 2018

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REVENUE

Sales & Service Revenue, net	\$ 27,952
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GROSS PROFIT	27,952
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OPERATING EXPENSES

Operating, General & Administrative Expenses (Schedule A)	19,916,302
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TOTAL OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES	19,916,302
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LOSS FROM OPERATIONS	(19,888,350)
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OTHER INCOME

Other Income	499,298
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LOSS BEFORE INCOME TAX	(19,389,052)
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Income Tax Benefit (Note 5)	(714,701)
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NET LOSS	\$ (20,103,753)
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GRANULES PHARMACEUTICALS, INC
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
FOR THE YEAR ENDED MARCH 31, 2018



	<u>Common Stock</u>		<u>Additional</u>		<u>Retained</u>	<u>Total</u>
	<u># of Shares</u>	<u>Amount</u>	<u>Paid In Capital</u>		<u>Earnings</u>	<u>Stockholders'</u>
						<u>Equity</u>
BALANCE, MARCH 31, 2017	2,000,000	\$ 2,000	\$ 1,998,000	\$ (16,458,033)		\$ (14,458,033)
Net Loss					(20,103,753)	(20,103,753)
BALANCE, MARCH 31, 2018	2,000,000	\$ 2,000	\$ 1,998,000	\$ (36,561,786)		\$ (34,561,786)

GRANULES PHARMACEUTICALS INC.
STATEMENT OF CASH FLOWS
AS OF MARCH 31, 2018

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CASH FLOWS FROM OPERATING ACTIVITIES

Net Loss	\$ (20,103,753)
Adjustments to reconcile Net Income to Net Cash	
Provided by Operating Activities:	
Depreciation & Amortization	1,449,879
Deferred Taxes	714,701
(Increase) decrease in operating Assets:	
Inventories	(808,518)
Loans & Advances	19,374
Prepaid Expenses	81,215
Deposit	300,000
Other Assets	(97,561)
Other Current Assets	(35,000)
Other Current Assets	(70,298)
Increase (decrease) in operating Liabilities:	
Accounts Payable	1,265,169
Payroll Payable	71,609
Payroll Tax Payable	(27,998)
Other Current Liabilities	312,668
Provision for Other expenses	19,432
Total Cash Used by Operating Activities	<u>(16,909,082)</u>

CASH FLOWS FROM INVESTING ACTIVITIES

Capital Work in progress	(88,195)
Purchase of Property and equipment	<u>(13,451,650)</u>
Net Cash Used by Investing Activities	<u>(13,539,845)</u>

CASH FLOWS FROM FINANCING ACTIVITIES

Investment in US Pharma Ltd	(2,862,546)
Loans and advances from Granules India Ltd	32,353,000
Accrued liabilities	2,005,759
Net Cash Provided by Financing Activities	<u>31,496,213</u>
NET INCREASE IN CASH	1,047,287
CASH, beginning of year	<u>136,947</u>
CASH, end of year	<u><u>\$ 1,184,233</u></u>

Note 1 - Nature of Business

Granules Pharmaceuticals, Inc (“GPI” the “Company”) was incorporated in Delaware on October 10, 2014. The Company is a wholly owned subsidiary of Granules India Limited, a company incorporated in India. The Company will focus on Research and Development and Manufacturing of pharmaceutical formulations. The Company has commenced the operations in 2017-2018.

Note 2 - Summary of Significant Accounting Policies

Basis of Accounting

The Company uses the accrual method of accounting for both financial reporting and income tax reporting.

Use of Estimates

The preparation of financial statements and related disclosures in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and revenues and expenses during the period reported. Actual results could differ from those estimates. Significant items subject to such estimates and assumptions include the useful lives of property, machinery and equipment, allowances for doubtful accounts, recognition of deferred tax assets, amortization period of intangibles, inventory, and provision for employee benefit obligations, income tax uncertainties, and other contingencies.

Cash

Cash consists of cash in bank accounts.

Accounts Receivable

The Company has just commenced operations in the period ended March 31, 2018, and has revenue of \$27,952. There is no accounts receivable balance as of March 31, 2018.

Property and Equipment

Property and equipment are stated at cost. Depreciation is provided principally on a straight-line method over the estimated useful lives of the assets when the asset has been put to use. The Company has put some assets to use during the year ended March 31, 2018, and accordingly, depreciation is recorded for the same. The assets that are not put to use are not depreciated and classified under Capital Work in Progress.

Estimated useful lives of the assets put to use are as follows:

Computers	3 to 5 years
Equipment	3 to 7 years
Furniture and fixtures	3 to 7 years
Vehicles	5 years
Improvements	15 years

When assets are retired or otherwise disposed of, the cost and related accumulated depreciation are removed from the accounts and the resulting gain or loss on disposal is reflected in the financial statements. The cost of significant additions and replacement of components is capitalized and depreciated while expenditures for maintenance and repairs are charged to expense as incurred. Depreciation expense for the year ended March 31, 2018, is \$ 1,449,879.

Revenue Recognition

Revenue is recognized when significant risk and rewards in respect of ownership are transferred to the customer and when the following criteria are met:

- There is persuasive evidence of an agreement.
- Services have been delivered.
- The fee is fixed and determinable.
- Collectability is probable, and customer creditworthiness has been verified and approved with payment expected within normal payment terms.

The Company has just started to generate revenue during the period ended March 31, 2018.

Income Taxes

The Company accounts for income taxes in accordance with FASB ASC No. 740 (formerly SFAS No. 109) “*Accounting for Income Taxes*”, which requires an asset and liability approach to financial accounting and reporting of income taxes. Deferred income tax assets and liabilities are computed annually for differences between the financial statement and tax basis of assets and liabilities that will result in taxable or deductible amounts in the future based on the enacted tax laws and rates applicable to the periods in which the differences are expected to affect taxable income.

Research and development

Expenditures for research and development are expensed as incurred and include salaries, benefits, and other employee-related costs; clinical trial and related clinical manufacturing costs, pharmaceutical supplies and other outside service fees and facilities and overhead costs.

Leases

The Company accounts for the lease of its office space as an operating lease. The related rentals are charged to expense in the period in which they are incurred.

Recent Accounting Pronouncements

In April 2016, the FASB issued ASU No.2016-10, “Revenue from Contracts with Customers” (Topic 606). This update clarifies two aspects of Topic 606: identifying performance obligations and the licensing implementation guidance, while retaining the related principles for those areas. The effective date and transition requirements for the amendments in this Update are the same as the effective date and transition requirements in Topic 606 (and any other Topic amended by Update 2014-09). Management is currently evaluating the new update.

Note 3 - Related Party Transactions

The Company has entered into a professional services agreement with its affiliate Granules USA, a wholly owned subsidiary of Granules India Limited. Granules USA Inc. provides the Company with consultancy services and also incurs certain expenses on behalf of the Granules Pharmaceuticals, Inc and these are subsequently transferred and allocated to the respective companies. These respective companies have accounts receivable and payable for the same. In addition to this, the Company purchases raw materials and pharmaceutical supplies from Granules USA Inc.

The Company has taken a loan from Granules India Limited, India, the parent company. The Company has accrued interest on the outstanding loan at the rate of 4% for the year ended March 31, 2018.

Details of transactions between the Company and its related parties are as follows:

<i>Granules USA.</i>	03/31/2018
Cost of Products	\$ 5,400
<i>Granules India Limited</i>	03/31/2018
Cost of Products	\$ 157,600
Loans and advances	\$ 34,353,000
Accrued interest for the year	\$ 2,005,759

Note 4 – Operating Lease

The Company had entered into a lease agreement to rent out the office space in Chantilly, Virginia on December 1, 2014, for a period of ten years and five months. Rent expense totaled \$ 98,453 for the year ended March 31, 2018.

The Company had entered into a new agreement as on January 30, 2017, with the landlord for the purchase of the leased building. The transaction closed in April 2017, and as such the Company will not be obliged to pay any future lease payments, due to the termination of the lease agreement in the effect of new purchase agreement.

Note 5 - Income Taxes

The Company accounts for income taxes under the provisions of FASB ASC 740, *Accounting for Income Taxes*. Under ASC 740, deferred taxes are required to be classified based on the financial statement classification of the related assets and liabilities which give rise to temporary differences. Deferred taxes result from temporary differences between the financial statement carrying amounts and the tax bases of assets and liabilities.

Valuation Allowance:

At March 31, 2018, the Company had net operating loss carryforwards for federal and state income tax purposes of \$35.91 million. Federal net operating loss carryforwards will begin to expire in 2035. State net operating loss carryforwards begin to expire in 2030.

Utilization of net operating loss may be subject to a substantial annual limitation due to the ownership change limitation provided by the Internal Revenue Code of 1986 and similar state provisions. The annual limitation may result in the expiration of the net operating loss before utilization.

As of March 31, 2018, the Company has federal and state deferred tax assets of \$8.51 million and \$1.32 million, respectively, which have been partially offset by a valuation allowance. Deferred tax assets relate primarily to net operating loss carryforwards. FASB ASC 740, *Accounting for Income Taxes*, provides for recognition of deferred tax assets if the realization of such assets is more likely than not. Based upon the weight of available evidence, which includes the Company's net losses since 2014, the Company has provided a partial valuation allowance against its deferred tax assets. Deferred Tax asset has been recognized to the extent that the Company believes that these assets are more likely than not to be realized.

GRANULES PHARMACEUTICALS INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2018

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The components of deferred tax asset as on March 31, 2018, are as follows:

		3/31/2018
<u>Net Operating Loss</u>		
Federal	\$ 1,012,918	
State	168,820	1,181,737
<u>Depreciation</u>		
Federal	\$ 41,320	
State	6,887	48,206
<u>Research Credit</u>		
Federal	\$ 22,414	
State	3,736	26,150
Total Deferred Tax Asset		\$ 1,207,887

Note 6 - Inventories

Inventories consist mainly of raw materials and packing supplies purchased for research and development as well as production and are stated at cost. As of March 31, 2018, the Inventory is \$ 1,871,932.

Note 7 - Property, Plant, and Equipment

The property, plant, and equipment for the year ended March 31, 2018 consists of the following:

Automobiles	\$ 47,457
Buildings	9,002,088
Computers	130,414
Customer Acc & market	650,000
Furniture & Fixtures	100,316
Improvements	2,331,000
Land	2,609,165
Machinery & Equipment	3,923,324
Office Equipment	1,408,006
Software & License	92,645
Store Handling Machine & Equipment	37,368
Television	0
Less: Accumulated depreciation	(2,533,126)
Net Property, Plant and Equipment	<u>\$ 17,798,657</u>

Depreciation expenses for the year ended March 31, 2018, totaled to \$1,449,879.

Note 8 – Stockholder’s Equity

The Company was incorporated on October 20, 2014, with an authorized capital of 10,000,000 shares of its common stock with a par value of \$0.001 per share. The Company had 2,000,000 shares issued and outstanding as of March 31, 2018. The Company had additional paid-in capital of \$ 1,998,000 as of March 31, 2018.

Note 9 – Retirement Plans

The Company has a 401(k) Defined Contribution plan. Under the plan, each employee can elect to participate after meeting the minimum age requirement and other eligibility requirements set forth in the Adoption Agreement. The Company makes a matching contribution to the plan up to 2% of employee wages for those electing to participate in the plan. The total employer contribution for the year ended March 31, 2018, was \$44,445. The 401 K contribution is charged to expense in the period in which they are incurred.

Note 10 – Research and development expenses

Research and development expenses for the year ended March 31, 2018 consists of the following:

Cost of Labor	\$ 5,294,768
Cost of Supplies	5,233,305
Other Contract Research Expenses	1,192,298

Total Research & Development expenses	\$ 11,720,371
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Note 11 – Going concern

The Company had suffered recurring losses from operations and incurred negative cash flows due to the nature of its operations. During the year ended March 31, 2018, the Group has operating losses of approximately \$20 million. However, the Company’s management believes that sufficient funds can be secured if required, by a combination of capital raising, debt financing and financial support by the parent, and as such is of the opinion that the financial statements have been appropriately prepared on a going concern basis.

Note 12 - Contingencies

There are no pending legal actions, including arbitrations, class actions and other litigation, arising in connection with the Company’s activities. Legal reserves are established in accordance with FASB *ASC 450* (formerly known as SFAS No. 5), “*Accounting for Contingencies*”. Once established, reserves are adjusted when there is more information available or when an event occurs requiring a change. There are no legal reserves in the statement of financial condition as of March 31, 2018.

Note 13- Subsequent Events

As required under ASC Topic 855 “Subsequent events” (previously covered under FAS 165), the Company is required to disclose events and transactions after balance sheet date but before the financial statements are available to be issued. The Company has evaluated subsequent events till July 12, 2018, which is the date the financial statements are available for issue and the following was concluded:

The Company has concluded that no other events or transactions have occurred which would require adjustments or disclosures in the Company’s financial statements.

GRANULES PHARMACEUTICALS, INC**CHUGH****SCHEDULE A****OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES
FOR THE YEAR ENDED MARCH 31, 2018**

Accounting & Audit Fees	\$ 16,500
Analytical R&D	1,035,481
Advertisement	11,806
Auto Expense	1,041
Bank Service Charges	9,001
Depreciation Expense	1,449,879
Dues & Subscription	79,784
Employees Benefits	44,445
Formulations R&D	3,481,637
Insurance	814,265
Interest	2,005,759
Legal & Professional Expenses	362,309
Office Expenses	1,808
Outside Services	1,192,298
Payroll Expenses	6,193,069
Postage & Delivery	12,886
Printing & Stationary	21,698
Rates & Taxes	984,423
Recruitment charges	152,616
Rent	98,453
Repairs & Maintenance	765,303
Safety & Security expenses	1,517
Spares and Stores	216,447
Shipping expenses	54,906
Staff Welfare	39,271
Taxes - Payroll	340,881
Telephone	60,352
Travel Expenses	77,642
Utilities	390,829
TOTAL OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES	\$ 19,916,302
